sheets are being reloaded with fresh, more complicated risks. The data support this assessment – despite a deepening of financial markets, banks may not be any safer than in the past. Moreover, even though the risks banks now bear are seemingly smaller, such risks are only the tip of an iceberg.

But perhaps the most important concern is whether banks will be able to provide liquidity to financial markets so that if the 'tail' risk does materialize, financial positions can be unwound and losses allocated so as to minimize the consequences to the real economy. Past episodes indicate that banks have played this role successfully. However, there is no assurance they will continue to be able to do so. Banks have in the past been able to provide liquidity in part because their sound balance sheets allowed them to attract available spare liquidity in the market. However, banks today require more liquid markets to hedge some of the risks associated with the complicated products they have created or guarantees they have offered. Their greater reliance on market liquidity can make their balance sheets more suspect in times of crisis, making them less able to provide the liquidity assurance that they have provided in the past.

Taken together, these trends suggest that even though there are far more participants who are able to absorb risk today, the financial risks that are being created by the system are indeed greater. And even though there should theoretically be a diversity of opinion and actions by market participants, and a greater capacity to absorb risk, competition and compensation may induce more correlation in behaviour than is desirable. While it is hard to be categorical about anything as complex as the modern financial system, it's possible that these developments are creating more financial-sector-induced procyclicality than in the past. They may also create a greater (albeit still small) probability of a catastrophic meltdown.